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Case Number: 26STCV08812 Hearing Date: August 4, 2026 Dept: 408

1.

Defendant Encompass Insurance Company's Demurrer to Plaintiffs Marine Chabukhyan and Nataly Zohrabyan's Complaint is OVERRULED as to the second cause of action. Defendant is ordered to file an Answer within 20 days from the date of this order.

2.

Defendant Encompass Insurance Company's Motion to Strike Portions of Plaintiffs Marine Chabukhyan and Nataly Zohrabyan's Complaint is DENIED, in part, and GRANTED, in part.

I.

BACKGROUND

On March 18, 2026, Plaintiffs Marine Chabukhyan and Nataly Zohrabyan, a minor by and through Guardian Ad Litem Marine Chabukhyan ("Plaintiffs"), filed a complaint against Defendant Encompass Insurance Company ("Defendant") alleging causes of action for:

1.

Breach
of Contract; and

2.

Breach
of The Implied Covenant of Good Faith and Fair Dealing.

On

May 8, 2026, Defendant filed this Demurrer and Motion to Strike to Plaintiffs' complaint. On June 16, 2026, Plaintiffs filed oppositions. On June 22, 2026, Defendant filed replies.

II.

DEMURRER

A.

Legal Standard

"The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of" various grounds listed in statute. (Code Civ. Proc., § 430.10.)

When

considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on

the face of the pleading or via proper judicial notice. (*Donabedian v.*

Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests

the pleading alone, and not the evidence or facts alleged." (*E-Fab, Inc.*

v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such,

the court assumes the truth of the complaint's properly pled or implied factual

allegations. (*Ibid.*) The only issue a demurrer is concerned with is

whether the complaint, as it stands, states a cause of action. (*Hahn v.*

Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave

to amend must be allowed where there is a reasonable possibility of successful

amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is

on the plaintiff to show the court that a pleading can be amended successfully.

(*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.)

However, "[i]f there is any reasonable possibility that the plaintiff can state

a good cause of action, it is error to sustain a demurrer without leave to

amend." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245.)

B.

Discussion

Defendant demurs to the second cause of action

for breach of the implied covenant of good faith and fair dealing alleged in Plaintiffs' complaint pursuant to Code of Civil Procedure section 430.10, subdivision (e), on the grounds that Plaintiffs fail to state sufficient facts to constitute such cause of action.[1]

The law implies a covenant of good faith and fair dealing in every contract, including insurance policies. (Wilson v. 21st Century Ins. Co. (2007) 42 Cal.4th 713, 720.) "[T]he essence of the implied covenant of good faith and fair dealing is that [t]he insurer must refrain from doing anything that will injure the right of the insured to receive the benefits of the [insurance] agreement, the terms and conditions of which define the duties and performance to which the insured is entitled." (Brandwein v. Butler (2013) 218 Cal.App.4th 1485, 1514-1515.)

To establish the insurer's "bad faith" liability, the insured must show that the insurer has (1) withheld benefits due under the policy, and (2) that such withholding was "unreasonable" or "without proper cause." (Gruenberg v. Aetna Ins. Co. (1973) 9 Cal.3d 566, 573-574.) The actionable withholding of benefits may consist of paying less than due; and/or unreasonably delaying payments due. (Neal v. Farmers Ins. Exchange (1978) 21 Cal.3d 910, 921; Waller v. Truck Ins. Exchange (1995) 11 Cal.4th 1, 36.)

Defendant argues that Plaintiffs fail to allege facts demonstrating that Defendant acted unreasonably in denying benefits to support a claim for bad faith. (Demurrer, at pp. 5-6.)

The complaint alleges that, on February 13, 2024, Defendant issued a Personal Insurance Policy to Plaintiff Marine Chabukhyan and Taron Zohrabyan which provided, among other things, \$100,000.00 per person or \$300,000.00 per incident in excess uninsured and underinsured motorist bodily injury coverage. (Complaint, ¶ 7.) On April 11, 2024, Plaintiffs were involved in a motor vehicle collision caused by a motorist who failed to maintain automobile liability insurance. (Id., ¶ 12.) Plaintiffs sustained injuries, sought medical care and treatment, and incurred damages. (Ibid.) The complaint further alleges that as the at-fault motorist failed to maintain liability insurance, Plaintiffs' damages were to be covered under the terms of

the insurance policy with Defendant. (Id., ¶ 13.) Plaintiffs allege that Defendant has wrongfully and intentionally withheld benefits due under the insurance contract, including denying benefits under the insurance contract and unreasonably delaying payment of benefits due without proper cause. (Id., ¶¶ 23-24.)

The court finds that Plaintiffs sufficiently allege that Defendant's conduct was unreasonable or without proper cause to support a claim for breach of the implied covenant of good faith and fair dealing.

Accordingly, the demurrer is overruled as to the second cause of action.

III.

MOTION TO STRIKE

A.

Legal Standard

Pursuant to Code of Civil Procedure section 436, "the court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc., § 436.) The grounds for a motion to strike must "appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (Code Civ. Proc., § 437.)

B.

Discussion

Defendant moves to strike Plaintiffs' request for punitive damages, injunctive relief, and attorney fees under Insurance Code section 1619 from the complaint. (Motion, at p. 4.)

1.

Punitive Damages

Defendant argues

that Plaintiffs fail to allege sufficient facts to support a request for punitive damages making conclusory allegations that Defendant's acted with malice, oppression or fraud. (Id., at pp. 6-8.)

Defendant also argues that Plaintiffs' request for punitive damages fails as the bad faith claim fails. (Id., at p. 6.)

Punitive

damages may be awarded in an action for the breach of an obligation not arising from contract upon clear and convincing evidence that a defendant has been guilty of oppression, fraud, or malice. (Civ. Code § 3294, subd. (a).)

"Malice"

is defined as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civ. Code § 3294, subd. (c)(1).) "Oppression" is defined as "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code § 3294, subd. (c)(2).) "Fraud" is defined as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code § 3294, subd. (c)(3).)

The court finds that

Plaintiffs provide sufficient facts to support a request for punitive damages.

The complaint alleges that Defendant wrongfully withheld benefits due under the insurance policy at issue; Defendant failed to conduct a fair and objective investigation into Plaintiffs' claim; Defendant unreasonably delayed payment of benefits; Defendant misrepresented the terms of the insurance contract; and Defendant failed to communicate with Plaintiff. (Complaint, ¶¶ 23-24.) The complaint also alleges that these

acts were done with the knowledge, approval, and ratification of Defendant sufficient to comply with Civil Code section 3294(b). (Id., ¶ 30.)

Accordingly, the

motion is denied as to punitive damages.

2.

Injunctive Relief

Defendant argues

that as Plaintiffs have an adequate remedy at law in pursuing a claim for breach of contract, Plaintiffs' prayer for injunctive relief for a permanent injunction enjoining Defendant from engaging in each of the unlawful practices, policies, usages and customs alleged is improper and should be stricken. (Motion, at p. 8.)

The court notes

that Defendant fails to provide persuasive authority finding that Plaintiffs' request for injunctive relief is per se improper and subject to strike.

Accordingly, the

motion is denied as to the request for injunctive relief.

3.

Attorney's Fees

Attorney's fees are recoverable only when authorized by contract, statute, or law. (Code Civ. Proc., § 1033.5, subd. (a)(10).)¿

Plaintiffs seek attorney's

fees pursuant to Insurance Code section 1619. (Complaint, Prayer for Relief, ¶ 7.) Insurance Code section 1619 applies to "any action against a nonadmitted foreign or alien insurer upon a contract of insurance issued or delivered in this State". (Ins. Code, § 1619.)

Defendant argues that Plaintiffs fail

to allege that Defendant is a nonadmitted foreign or alien insurer for Section 1619 to apply. (Motion, at p. 9.) Defendant further contends that it is licensed in California making Section 1619 improper. (Ibid.)

The complaint alleges that Defendant

is "an Illinois corporation, authorized under

the laws of the State of California to do business as an insurer in the State of California." (Complaint, ¶ 2.) The court finds that such allegations defeat

Plaintiffs' request for attorney's fees under Section 1619. (Ins. Code, § 24 [admitted means entitled to transact insurance business in this state].)

Accordingly, the

motion is granted as to the request for attorney's fees under Section 1619.

IV.

CONCLUSION

1.

Defendant Encompass

Insurance Company's Demurrer to Plaintiffs Marine Chabukhyan and Nataly Zohrabyan's Complaint is OVERRULED as to the second cause of action. Defendant is ordered to file an Answer within 20 days from the date of this order.

2.

Defendant Encompass

Insurance Company's Motion to Strike Portions of Plaintiffs Marine Chabukhyan and Nataly Zohrabyan's Complaint is DENIED, in part, and GRANTED, in part.

[1] In

opposition, Plaintiffs argue that Defendant failed to sufficiently meet and confer prior to filing this demurrer. (Opp., at pp. 2-3.) An insufficient meet and confer process is not grounds to overrule or sustain a demurrer. (Code Civ. Proc., § 430.41, subd. (a)(4).) The court exercises its discretion to consider the demurrer on the merits despite any alleged procedural deficiencies.